Management and Marketing
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Topic 2
Developing marketing strategies and plans

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Topic 2
Learning Objectives

1. How does marketing affect customer value?
2. How is strategic planning carried out at the corporate and divisional levels?
3. How is strategic planning carried out at the business unit level?
4. What does a marketing plan include?

The value delivery process

CHOOSING THE VALUE

PROVIDING THE VALUE

COMMUNICATING THE VALUE

Segmentation, targeting and positioning

Product, price and distribution

The Value chain

- **A tool for identifying ways to create more customer value**
  - Every firm is a synthesis of activities performed to design, produce, market, deliver, and support its product
  - **Primary activities**: 1. inbound logistics, 2. operations, 3. outbound logistics, 4. marketing, 5. service
  - **Support activities**: 1. procurement. 2. technology development, 3. HR management, 4. firm infrastructure

Michael Porter

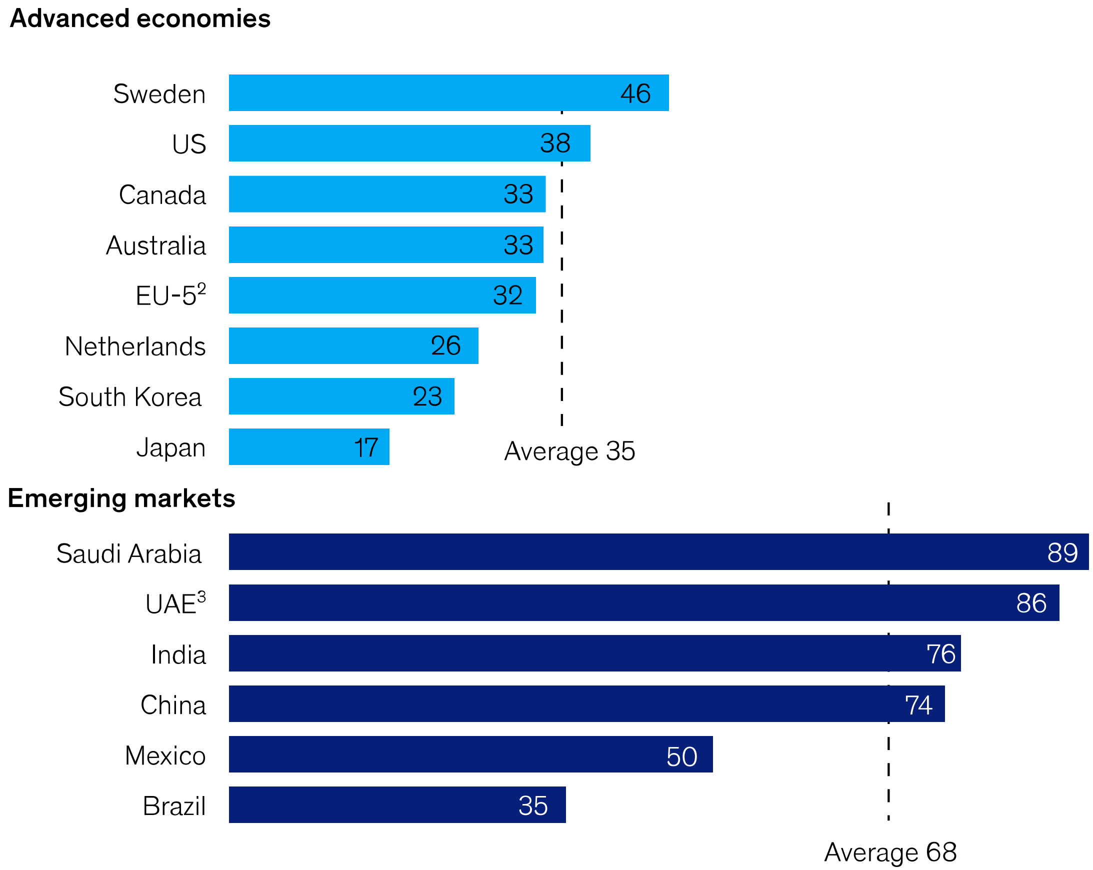
Consumer trends

- **Market-sensing process**
- **New-offering realization process**
- **Customer acquisition process**
- **Customer relationship management process**
- **Fulfillment management process**

The core business processes

Younger consumers in emerging markets are nearly two times more optimistic, on average, than those in advanced economies.

Consumer confidence, by country, aged 18–24[1]
% who believe the economy will rebound

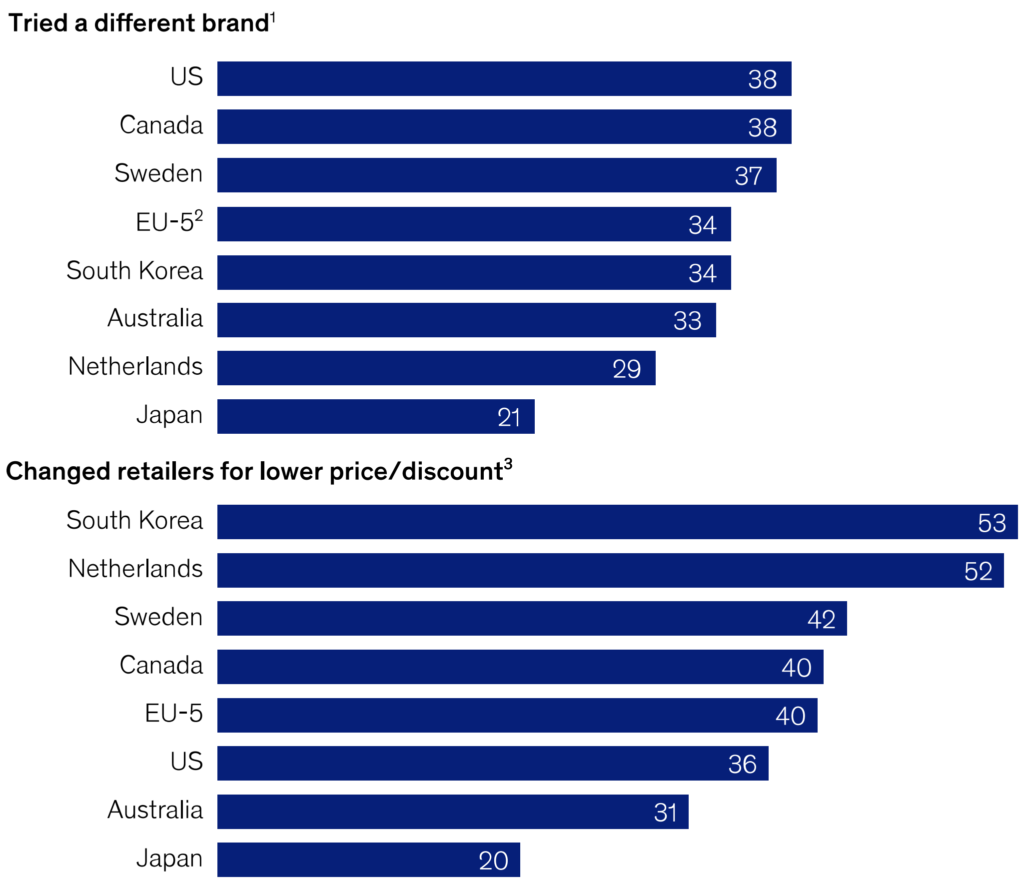


[1]Question: Do you think the economy will rebound in 2–3 months, and that the economy will grow at the same rate or faster?
[2]Includes France, Germany, Italy, Spain, and the UK.
[3]United Arab Emirates.
Source: McKinsey ConsumerWise Global Sentiment Data, Jan 2024, n = 4,005

McKinsey & Company

Shopper loyalty is in flux as consumers look to new brands and retailers for better value.

Consumer loyalty changes in advanced economies, past 3 months,
% of respondents



[1]Respondents who answered "tried a different brand" when asked: Over the past 3 months, have you done any of the following?
[2]Includes France, Germany, Italy, Spain, and the UK.
[3]Within the past 3 months, have you done any of the following when purchasing a product (asked across multiple categories)? Responses include percent of respondents selecting 1 of the following options: shopped from a lower-priced retailer; shopped from lower-price brand; bought private label; bought a brand for which you had a coupon; used buy now, pay later; delayed a purchase; bought a larger-size pack for a lower price; bought smaller size or quantity; made more shopping trips in search of discounts.

Source: McKinsey ConsumerWise Global Sentiment Data, Q1 2024, n = 15,352

McKinsey & Company

Characteristics of core competencies

- A source of competitive advantage and makes a significant contribution to perceived customer benefits
- Applications in a wide variety of markets
- Difficult for competitors to imitate

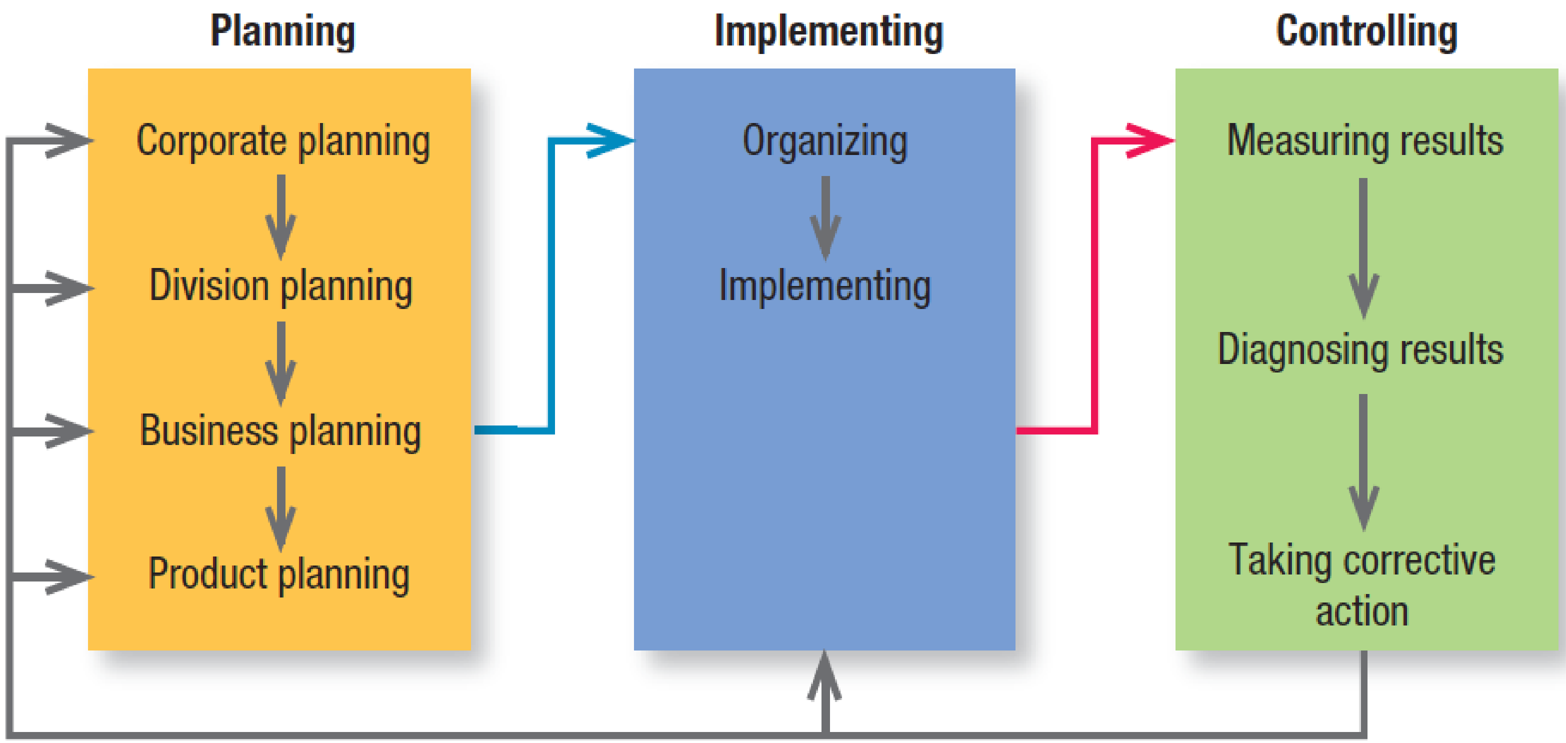
The central role of strategic planning

- Managing the businesses as an investment portfolio
- Assessing the market's growth rate and the company's position in that market
- Establishing a strategy

The marketing plan

- The central instrument for directing and coordinating the marketing effort
  - **Strategic** → Target markets and value proposition
  - **Tactical** → 4 Ps

Strategic Planning, Implementation, and Control Processes



Corporate and division strategic planning

- **Defining the corporate mission**
- Establishing strategic business units
- Assigning resources to each strategic business unit
- Assessing growth opportunities

Strategy is „the creation of a unique and valuable position involving a different set of activities”. *(Porter)*

A company has a strategy when it „performs different activities from rivals or performs similar activities in different ways.” *(Porter)*

The Mission Statement

- What is our business?
- Who is the customer?
- What is of value to the customer?
- What will our business be?
- What should our business be?

The mission statement should be market oriented!

Product-Oriented vs. Market-Orientated Definitions of a Business

Company	Product definition	Market definition
Missouri-Pacific Railroad	We run a railroad	We are a people-and-goods mover
Xerox	We make copying equipment	We improve office productivity
Standard Oil	We sell gasoline	We supply energy
Columbia Pictures	We make movies	We market entertainment

AVON

OUR MISSION

To celebrate women's power to make a beautiful and positive impact in the world.

Good Mission statements

- Focus on a limited number of goals
- Stress the company's major policies and values
- Define the major competitive spheres within which the company will operate
- Take a long-term view
- Are as short, memorable, and meaningful as possible

Corporate and division strategic planning

- Defining the corporate mission
- **Establishing strategic business units**
- **Assigning resources to each strategic business unit**
- Assessing growth opportunities

Establishing Strategic Business Units (SBUs) and assigning resources to each SBU

What is an SBU?

- A single business or collection of related businesses
- Has its own set of competitors
- Has a leader responsible for strategic planning and profitability

Management must decide how to allocate corporate resources to each SBU

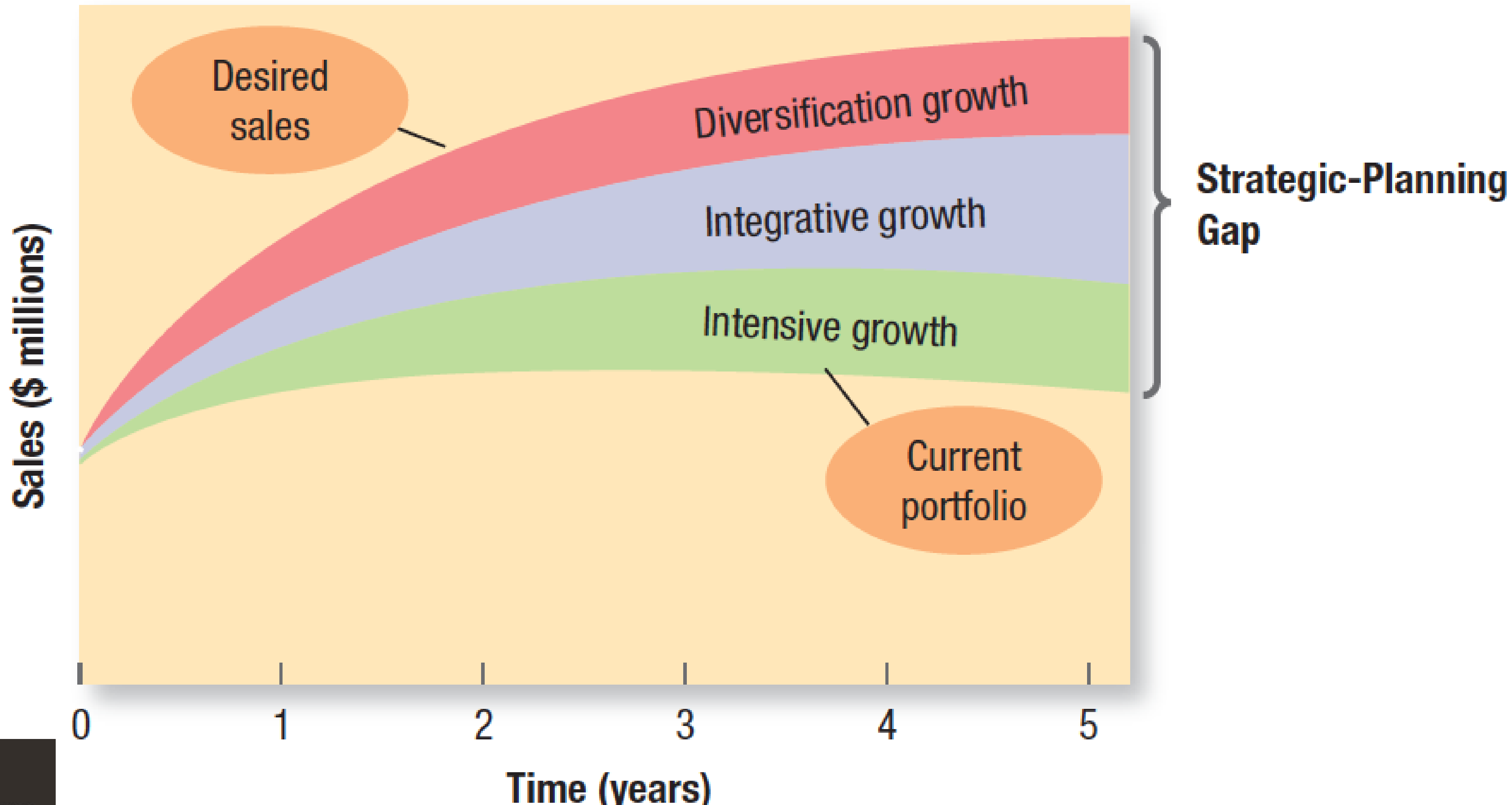
Portfolio-planning models (BCG Matrix or GE/McKinsey Matrix)

Newer method:

Shareholder/market value analysis

https://www.youtube.com/watch?v=_JBN0PvDcIQ

Assessing growth opportunities



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INTENSIVE GROWTH

Corporate management should first review opportunities for improving existing businesses

- Market-penetration strategy
- Market-development strategy
- Product-development strategy

INTEGRATIVE GROWTH

- A business can increase sales and profits through backward, forward, or horizontal integration within its industry

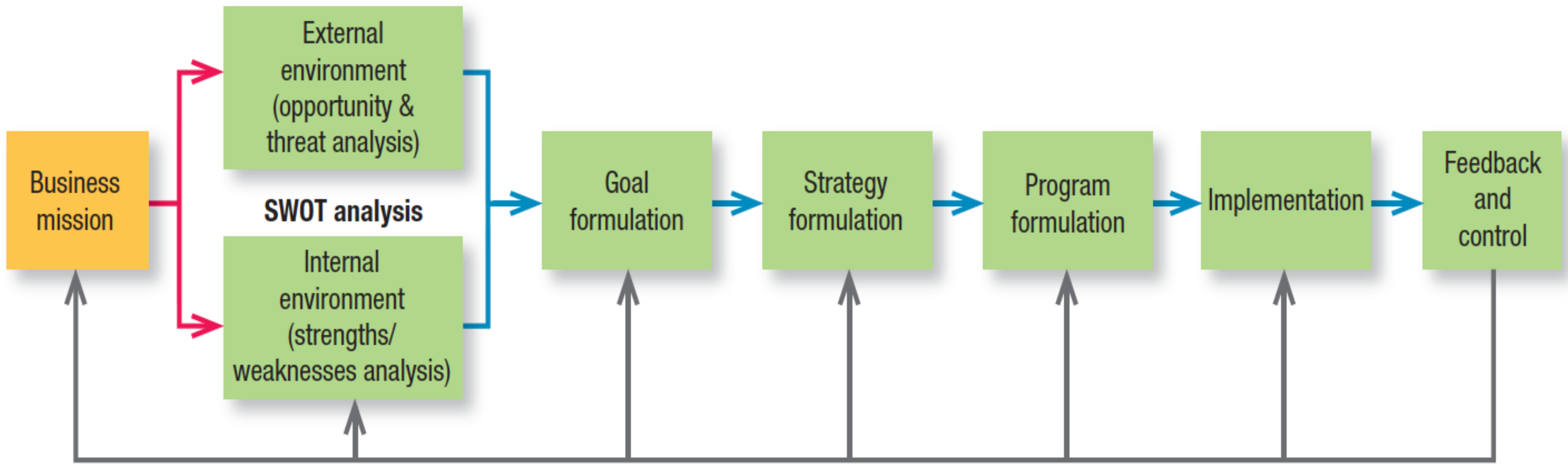
DIVERSIFICATION GROWTH

Diversification growth makes sense when good opportunities exist outside the present businesses

The industry is highly attractive and the company has the right mix of business strengths to succeed

- **Concentric strategy:** new products have synergies with existing ones
- **Horizontal strategy:** new products require new manufacturing processes
- **Conglomerate strategy:** no relationships with its current technology, products or markets

The Business Unit Strategic-planning Process



- **Marketing opportunity: an area of buyer need and interest that a company has a high probability of profitably satisfying.**

- **Environmental threat: challenge posed by an unfavorable trend or development that, in the absence of defensive marketing action, would lead to lower sales or profit**

External environment

Market Opportunity Analysis (MOA)

- Can we articulate the benefits convincingly to a defined target market(s)?
- Can we locate the target market(s) and reach them with cost-effective media and trade channels?
- Does our company possess or have access to the critical capabilities and resources we need to deliver the customer benefits?
- Can we deliver the benefits better than any actual or potential competitors?
- Will the financial rate of return meet or exceed our required threshold for investment?

Opportunity And Threat Matrices: example of a TV-lighting equipment company

(a) Opportunity Matrix

Success Probability

Attractiveness	High	Low
High	1	2
Low	3	4

1. Company develops more powerful lighting system
2. Company develops device to measure energy efficiency of any lighting system
3. Company develops device to measure illumination level
4. Company develops software program to teach lighting fundamentals to TV studio personnel

(b) Threat Matrix

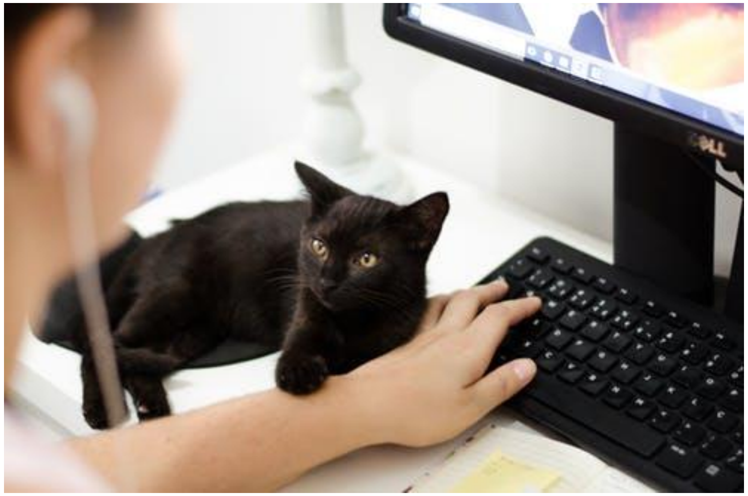
Probability of Occurrence

Seriousness	High	Low
High	1	2
Low	3	4

1. Competitor develops superior lighting system
2. Major prolonged economic depression
3. Higher costs
4. Legislation to reduce number of TV studio licenses

SWOT Analysis

- Dell's **STRENGTH** was selling more effectively and efficiently directly to consumers than IBM and Compaq, its hardware competitors at that time.
- Dell's **WEAKNESS** was that its brand was not as strong and it lacked a well-entrenched channel infrastructure and solid dealer relationships.
- Dell's **OPPORTUNITY** was that the consumer market was becoming more sophisticated and customers increasingly knew exactly what they wanted.
- Dell's **THREAT** was that it would fail to generate a big enough customer base in the face of strong competitors and demanding channel partners.



- **Unit's objectives must be arranged hierarchically**
- **Objectives should be quantitative**
- **Goals should be realistic**
- **Objectives must be consistent**

Strategic formulation: Porter's Generic Strategies

OVERALL COST LEADERSHIP

Lowest production & distribution costs
Lowest price
Less skill in marketing

DIFFERENTIATION

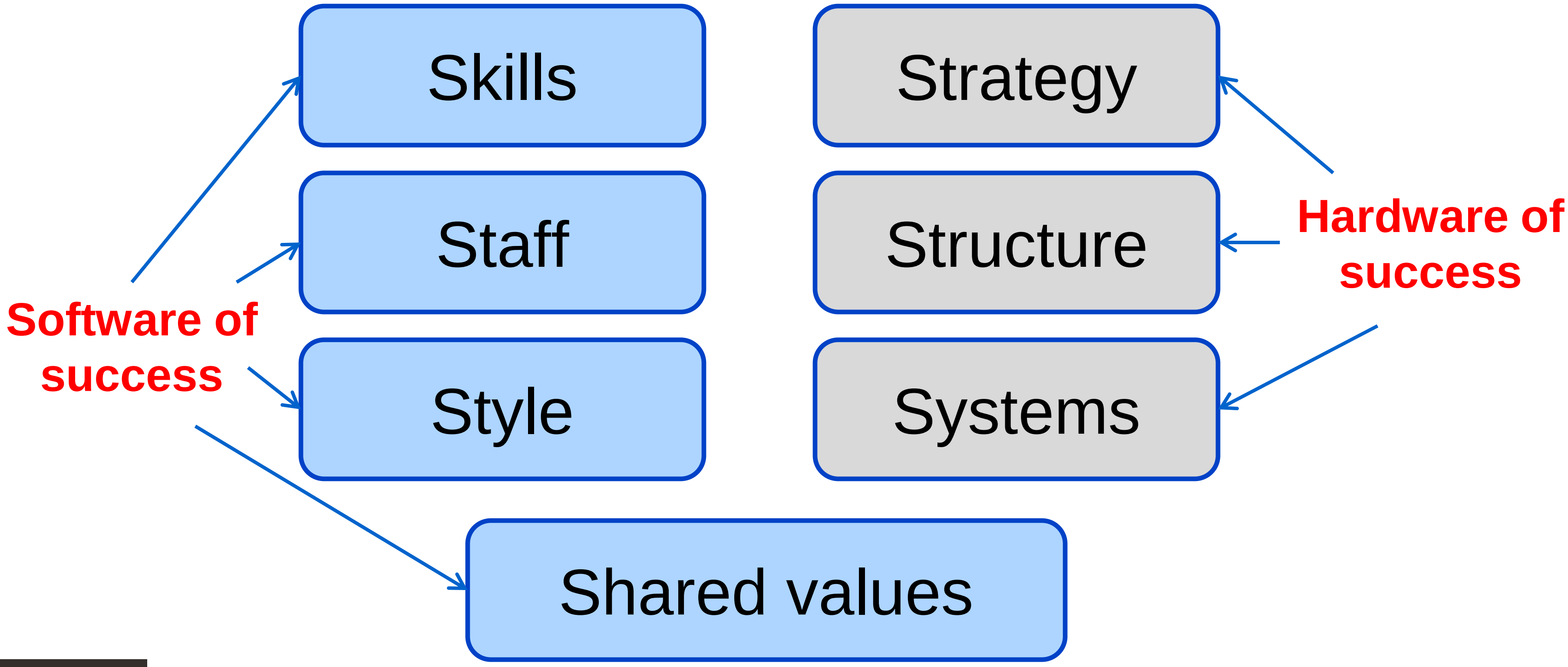
Superior performance (service, quality, style, technology)

FOCUS

One or more narrow market segments
Cost leadership or differentiation

Program Formulation and Implementation

McKinsey’s Elements of Success



Marketing Plan Contents

- ✓ Executive summary
- ✓ Table of contents
- ✓ Situation analysis
- ✓ Marketing strategy
- ✓ Marketing tactics
- ✓ Financial projections
- ✓ Implementation controls

KEY TAKEAWAYS

- Customer value and marketing strategy
- The strategic planning process
- Growth opportunities
- MOA

Thank You for Your Attention!